

steel, food grains and export/import (EXIM) or goods containers. The growth of non-coal freight fell around 1 per cent from 803 MT in FY24 to 794.6 MT in FY25.

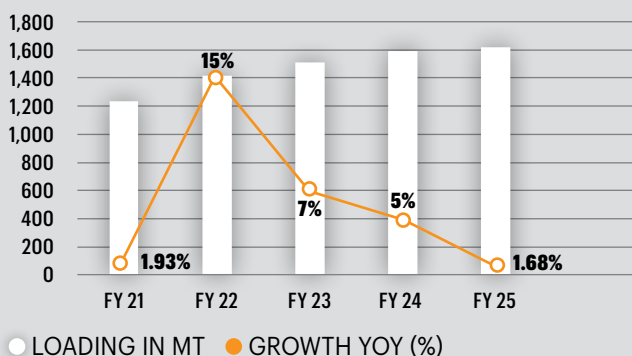
What is worrisome is the drop in the share of steel and cement in the overall freight transported by the railways. These commodities are now being increasingly moved by road due to faster connectivity on account of the massive upgrade of road infrastructure over the years and better cost economics. Carrying goods for shorter distances by railways is expensive than carrying them by road, according to industry players.

As far as the railways' revenue is concerned, freight accounts for nearly 65%, with coal, iron ore and cement being the major contributors. The sluggish growth in freight also means a modest 3.7% growth in freight earnings in FY25 compared to 7% in FY24. To address falling revenues, the railways have set a target of doubling freight loading in the next five years. The goal is to reach 3,000 MT by 2030 from 1,617 MT at present.

"As far as the railways' freight target is concerned, I see it touching 2,000 MT by 2030 in place of 3,000 MT, primarily because of capacity constraints on tracks. We know that the country's GDP is growing at a fast pace and there is investment in the economy. If railways can't carry, the freight will move to the road," Manish Puri, President, of the Association of Container Train Operators (ACTO), tells *Business Today*.

FREIGHT GROWTH STALLS

- The growth of freight loading lowest in FY25
- The Y-o-Y growth fell FY22 onwards



SOURCE INDIAN RAILWAYS/INDUSTRIES

ADDRESSING PAIN POINTS



Railways' freight share expected to reach 45% by 2030, from around 26% presently



The target is ambitious as freight growth in last five years hasn't been inspiring



While improved road infrastructure is challenging rail freight movement, the former still has miles to go



Target to achieve originating freight traffic of 3,000 MT from 1,600 MT at present



Focus on diversifying freight basket from core commodities



Dedicated Freight Corridor to expedite freight movement

ACTO is a lobby group for the container sector, which accounts for 5% of railways' freight and is expected to offer growth opportunities in the coming years. Road handles approximately 65% of freight volume, followed by rail, which has a 26% share. Other modes of transport include coastal shipping, inland waterways and pipelines, which together handle the remaining 9% of the freight volume. Industry players flag capacity constraints, high cost, failure to attract lighter goods players and inability to corner the short-distance market behind the problems with the railways' freight segment.

PRICING CONCERNS

A FICCI-PwC report, *Container Train Operations After 20 Years of Deregulation: The Way Forward*, released this April, said freight rates charged per tonne-mile